

ish" position.) Thus, a bear market most clearly separates the accomplished speculator from the rest. If you have not joined this select group already, maybe it is time for you to do so. The first major stock market move I personally followed closely was the 1973-1974 bear market, and I can tell you, it was substantially more exhilarating than all but seven years (1975-1976 and 1982-1987) of the 21-year bull market that has followed. Of course, the real key to a well-rounded investment strategy is learning to appreciate and handle *both*. Each has its day, and each will bring joys and gains if you are on the right side of it.

It is a curious fact of psychology that most investors, money managers and analysts hate bear markets even when they are bearish. It may stem from the fact that customers disappear in bear markets. Indeed, if the main goal of a portfolio manager is to retain his job or his customers, he will fear missing an uptrend more than losing all his clients' money in a downtrend. In an uptrend, the big winners get all the customers. In a downtrend, the customers disappear anyway. The public's bias in this regard is based upon an illusion that "up" is good and "down" is bad, indeed, that there even is an "up" and "down." However, a market chart merely shows a *ratio*. If one item is going down, the other is going up. If stocks and bonds are in a bear market, *then dollars in terms of stocks and bonds are in a bull market*. Flip the ratio, and you can show any bear market in stocks and bonds as a bull market in dollars. Why aren't investors happy to see *that* bull market? The psychological bias against bear markets produces a very negative result among professionals: Not 1% of the effort that goes into analysis and strategy for bull markets is spent to make money from a bear. I am not so biased, nor do I have a customer base that thinks only one way. Today, we are buying dollars with our stocks. Furthermore, if a speculator is willing to buy stocks and real estate with borrowed dollars (i.e., on margin and with a mortgage), doesn't it make sense to buy dollars with borrowed stocks and property? You can do it, in the stock market at least, by selling short. Those who are positioned to catch the approaching trend change will make more money in one year than the longs have made in five.

An *Elliott Wave Theorist* subscriber in 1994 wrote to a major stock fund group in the U.S. to ask if they offered a short selling fund. He was informed that management "preferred long term investment to speculation." *All investment is speculation*, and there is no more risky speculation than one that is confidently viewed by a majority of portfolio managers and the public as an investment.